

Supervision 2

Session 4

CP 14-1

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CP 14.2

Ops

Finance

Investing

1

2

3

4

5

6

7

9

10

12

13

15

16

17

18

75

2

(3)

(8)

(20)

(100)

60

(12)

20

(50)

(100)

20

(90)

(20)

30

100

7

(25)

(60)

CP 14-9

2. Balance Sheet from 2016 to 2017

Assets

Current

Cash: 2

A/R: 8

Inventory: 4

Non-current

Land: -14

Equipment: 34

Liabilities

Current

Accounts

Payable: 4

Non-current

Non-current: 8

borrowings

Equity

Common Shares: 10

Retained earnings: 18

Statement of cash flows

Operating activities

- Depreciation expense
- Sale of equipment

Investing activities

- Sale of equipment: 5
- Sale of land : 10
- Purchase of property : (41)
land + equipment

P14-4

Cashflow from operations

Net income : \$800

- Depreciation : \$120

- Patent amortisation : \$5

\$925

} Adjust for non-cash expenses

- Accounts receivable : (\$40)

- Merchandise inventory : \$50

- Wages payable : \$20

\$955

} Adjust for changes in non-cash working capital

Cashflow from financing

- Common Shares : 500
 - Payment for current borrowings : (230)
 - Payment of dividends : (30)
-

Net change in cash + \$955

\$1175